Enel (ENEL.MI) - Relative Valuation Report

Valuation date: 2026-10-30 | Mode: relative_only deviation (no DCF, no stage 2/4) | Status: PROVISIONAL

1. Valuation summary

Item	Value
Currency	EUR (reporting FY2025: EUR millions)
Current price (close 2026-10-30)	9.32
Primary multiple (comparables)	EV/EBITDA (bucket-A integrated utility); peer median 12.56x, n = 10
Comparables, p25 - median - p75 per share	13.50 - 17.79 - 23.77
Median vs price	17.79 vs 9.32 = +90.8% (vendor EBITDA basis)
Issuer-EBITDA sensitivity (median)	20.02 vs 9.32 = +114.8% (reported) / 21.03 (ordinary)
Regression estimate per share	6.95 (published EUROPE regression, chosen model: PBV, R2 = 0.423)
Regression vs price	6.95 vs 9.32 = -25.4%

Peer-multiple cross-checks (medians, per share): PE 7.11; PBV ROE-scaled 6.90; EV/EBIT 22.34; EV/CF 12.21; EV/Assets 10.79; EV/Sales-scaled/PS 7.11/17.79. Published EUROPE regressions: PE (R2 0.201) 10.41; EV/EBITDA (R2 0.262) 31.81. Peer EV multiples read ENEL cheap (actual EV/EBITDA 8.4x vs peer median 12.6x); the published PBV equation reads it ~25% rich. The two methods bracket the price in opposite directions; both are shown, none reconciled under relative_only.

Basis notes: vendor FY2025 EBITDA 20,311m sits below issuer reported EBITDA 22,073m / ordinary 22,874m (definition scope; sensitivity retained). Vendor NI to common 3,959m vs issuer group net income 4,225m (a further 266m 'preferred/other' vendor deduction though Enel has no preferred - flagged). Declared FY2025 dividend 4,982m (0.49/share, part-funded from retained earnings) implies payout >100% - fundamental growth = 0, so PEG and growth-scaled PE adjustment are not meaningful.

No intrinsic (DCF) estimate is produced under the relative_only deviation; stages 1, 2 and 4 are marked skipped_by_deviation in run_state.json.

2. Peer set (10 of 10 selected at the Europe step)

Name	Ticker	Country	Tier	EV/EBITDA / PBV
ENGIE	ENGI	France	1	EVEBITDA 8.1 / PBV 1.7
E.ON	EOAN	Germany	1	EVEBITDA 13.0 / PBV 2.6
EDP	EDP	Portugal	1	EVEBITDA 11.4 / PBV 1.8
National Grid	NG	United Kingdom	1	EVEBITDA 16.3 / PBV 1.7
Snam	SRG	Italy	2	EVEBITDA 13.1 / PBV 2.2
SSE	SSE	United Kingdom	1	EVEBITDA 16.9 / PBV 3.2
Terna	TRN	Italy	2	EVEBITDA 12.1 / PBV 2.5
Orsted	ORSTED	Denmark	2	EVEBITDA 4.0 / PBV 0.2
Verbund	VER	Austria	1	EVEBITDA 10.1 / PBV 2.3
Fortum	FORTUM	Finland	1	EVEBITDA 18.6 / PBV 2.4

Composition: 10 peers Tier 1-2 (8 integrated/regulated utilities, 2 grid/renewable operators), 10/10 Europe-listed - all requirements met at the first (strictest) selection step; no size-band or region relaxation. Pool of 33 candidates + 1 subsidiary evidence row built from issuer-named competitors, sector_adjustments Tier-1 seeds and own research.

Exclusions documented: Endesa (~70% subsidiary of ENEL, hard gate); CEZ (uniform web source unavailable; MSCI EM listing anyway); CNA/A2A/REE/IG and small IPPs (below size-band floor EUR 9.25bn); AY/BLX/INE (no common 2026-10-30 price date); ORA (US-listed, World-only pool never reached). Iberdrola and RWE scored above the selected set.

ENEL vs selected-peer medians: actual EV/EBITDA 8.4x vs 12.6x; PE 23.4x vs 17.8x; ROE 12.0% vs ~10%; net debt/EBITDA 3.1x vs ~4.3x; EBITDA margin 25.6% vs ~34%; beta 0.84 vs ~0.6.

3. Method notes and caveats

- Comparable companies: similarity scoring on 8 dimensions; pool-only 5/95% winsorization; Europe step feasible at default caps; per-share values in EUR on uniform vendor FY2025 fundamentals; EV basis = before associates (peers and target inverse both exclude the associates adjustment).
- Primary multiple: EV/EBITDA; min_valid = 6 per standing approval (ev_cf n = 9, all others 10; peg NM for target with zero fundamental growth).
- Published regressions: Damodaran regressions_multi_2026-01, EUROPE equations, decimal unit policy for DFR/tax (user-approved). EV/EBITDA percent-point alternative gives predicted 10.83x vs 19.41x decimal (44% divergence); decimal policy applied, both recorded. Chosen model = highest published R2 (PBV).
- Regression inputs: beta 0.84 (5Y observed); g_eps 7.63% and g_rev 3.17% analyst consensus (sourced, consistent with Enel plan EPS ~6% CAGR); ROE 0.124 closing book; payout 1.26 declared-dividend basis (1.18 on issuer group NI, flagged); dfr 0.427; effective tax 0.3305; roic 0.0994.
- Caveats: (a) regression file ~10 months older than valuation date; (b) published file gives no n, SEy or p-values - residual-band/diagnostic fields n/a_published_route; (c) GLOBAL-equation sign warnings recorded at stage 0, EUROPE equations unaffected but noted; (d) market-wide equations, low R2 - deviation is not proof of mispricing; (e) market-wide EV/EBITDA prediction (19.4x) sits above the European utility peer median (12.6x) - recorded, not resolved.
- QA block C: PROVISIONAL - human Spot_check PENDING (recorded, not claimed); ISIN issuer-page verification PENDING; ownership/event audit outstanding. EV-to-equity inverse check passed (associates = 0 on both sides); three reproducibly random EV recomputes matched. No failures; warned items disclosed.
- Data route: stockanalysis.com uniform web route (profile/statistics/financials/history); all figures from the 2026-10-30 cache and fetched candidate tables; vendor figures cross-checked against the Enel FY2025 results press release (equity/NCI exact; group NI exact; revenue as-reported exact; EBITDA definition differences documented).

4. Sources

- Market data: cache/market/2026-10-30/ (universe.csv = IEUR MSCI Europe IMI proxy; per-candidate EDPRpool_*/ENELpool_* fetches in candidates/; fetch_manifest.json).
- Macro/FX: cache/macro/2026-10-30.json (ECB FX snapshot; Bund 10y; mature ERP).
- Company fundamentals: Enel FY2025 results press release (revenues 80,346m; ordinary EBITDA 22,874m; reported EBITDA 22,073m; group NI 4,225m; net financial debt 57,182m; DPS 0.49) via relative_inputs.md, cross-checked vs vendor extracts.
- Vendor route: stockanalysis.com bit/ENEL and per-candidate pages (fetched 2026-10-30/11-01).
- Published regressions: Damodaran regressions_multi_2026-01 (EUROPE), PE / PBV / EV/EBITDA equations, sha256 a894ea86...
- Working files: outputs/ENEL.MI_2026-10-30/relative/ (comparables.csv, multiples_summary.csv, comparables_audit.xlsx, regression_valuation.xlsx with live formulas, qa_results.md, source_log.csv).

Academic analysis produced by an automated valuation agent. Not investment advice. All figures cited from the files listed in section 4; nothing recomputed for this report.